KT

"The Value Networking Company"

Europe NDR Presentation

October, 2002

Discussion Agenda

Part I

Company Overview

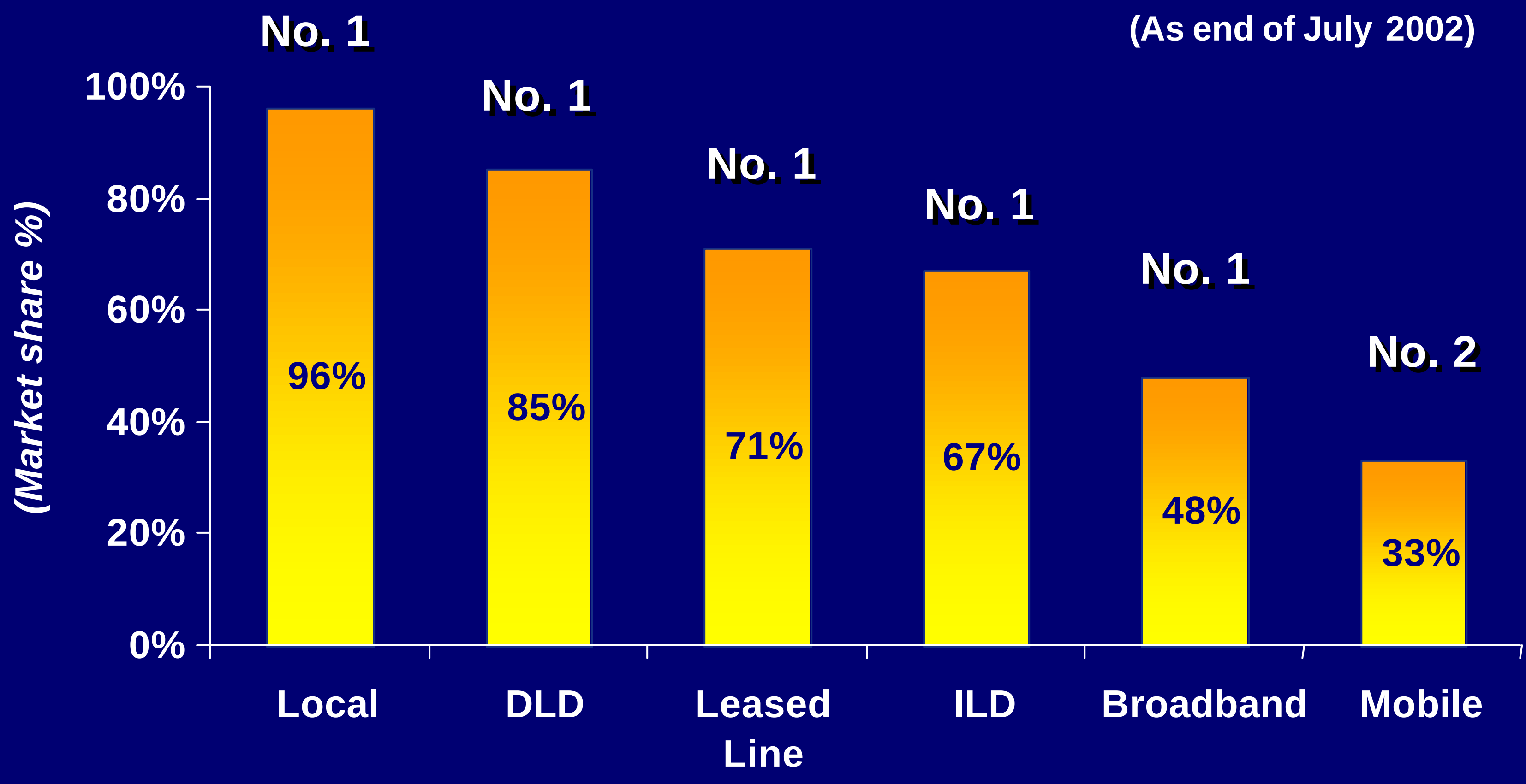
Part II

Maximization of Shareholder Value

Part III

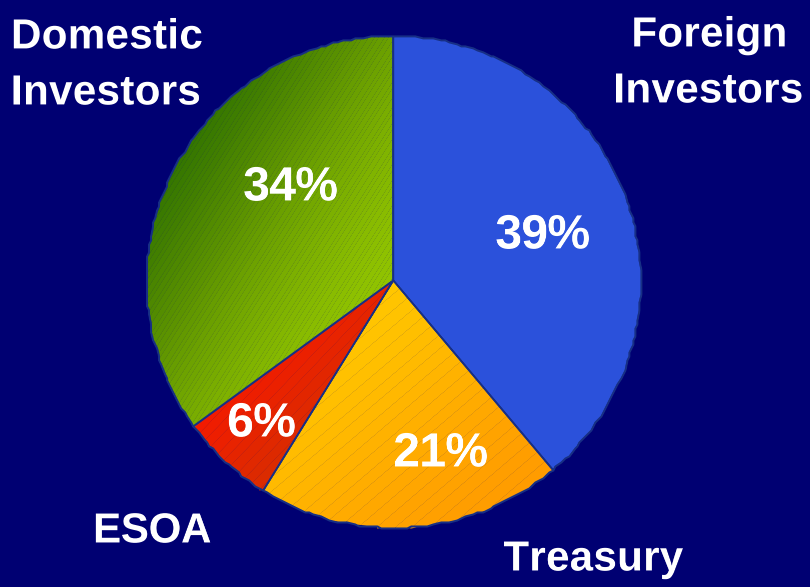
Business Highlights

Dominant integrated telecom company in Korea



Completion of privatization

Segmented shareholdings



Transparent corporate governance

- **Strengthen independence of BOD**
  - increase outside directors from 7 to 9, outnumbering internal directors
  - appointment of a foreign outside director
  - outside directors decide business targets for the CEO
- **Professional Management**
  - transparent CEO nomination process
  - internal directors of experts
  - performance based incentive system

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Management's achievements for shareholders

- Increased effective foreign ownership limit from 37% to 49%
- 1% share buy back and cancellation
- 20% increase in dividend per share
- Withdrawal of convertible preferred share provision
- Adopted cumulative voting rights
- Appointment of a foreign outside director

Management's initiatives for shareholders

Free cash flow to be used for shareholder value

Focus on profitability and returns

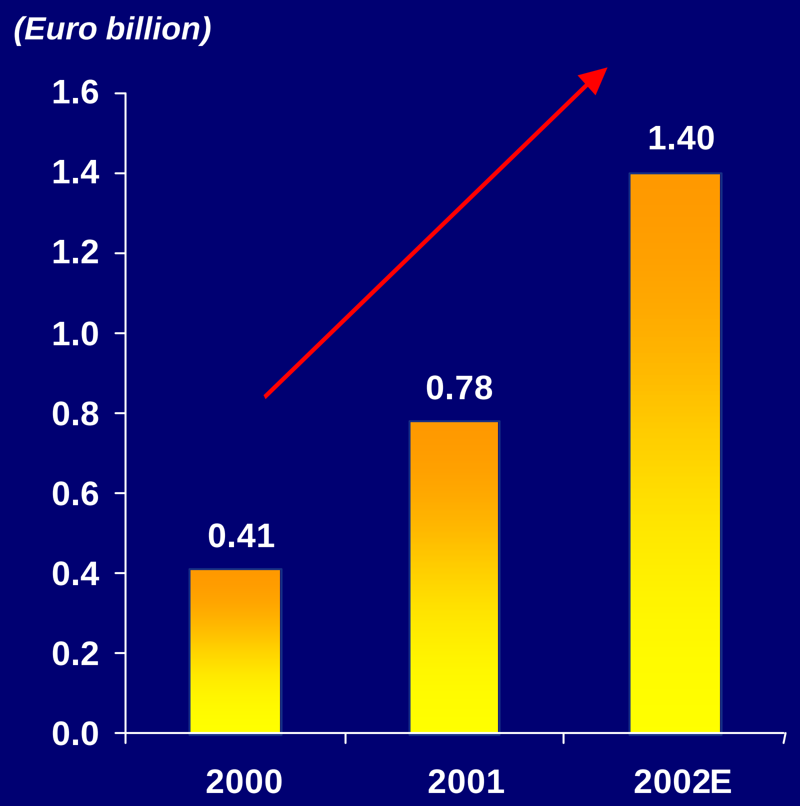
Efficient CAPEX control

Stock swap with SKT

Merger of KTF & KT ICOM with minimum dilution

Free cash-flow to be used for shareholder value

Operational free cash flow



OPFCF: OP-(OP*tax)+D&A-CAPEX+ change in WC

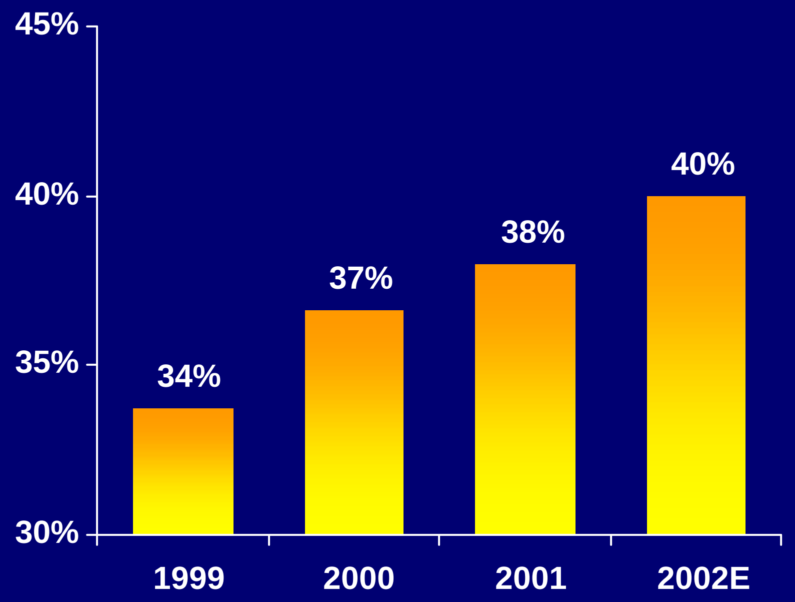
Note : non-consolidated figures

Free cash flow usage

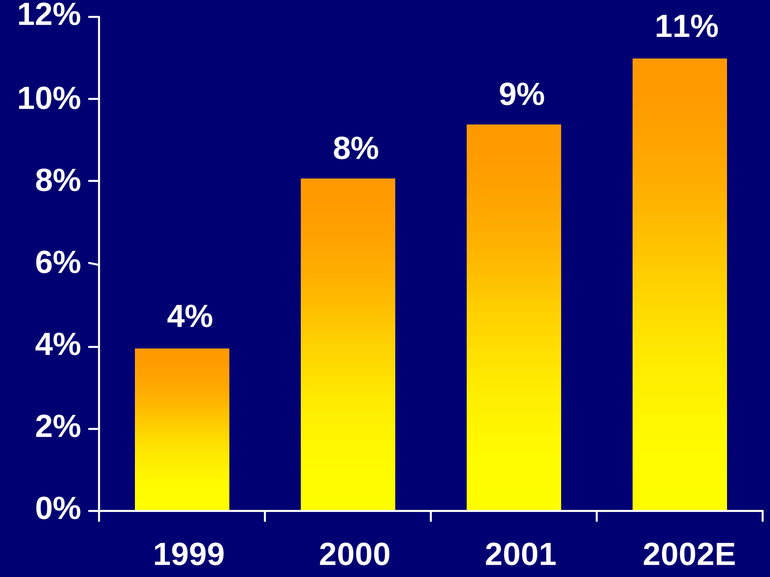
- **Increase in dividend per share**
  - targeting a 20% increase per annum
- **Share buy back & cancellation**
  - completion of 1% cancellation in October
  - first Korean blue-chip company to have implemented
  - will continue to seek opportunity
- **Debt repayment**
  - targeting to maintain 75% debt to equity ratio vs. current 96%

Focus on profitability and returns

Historical EBITDA margin



Historical and target ROE

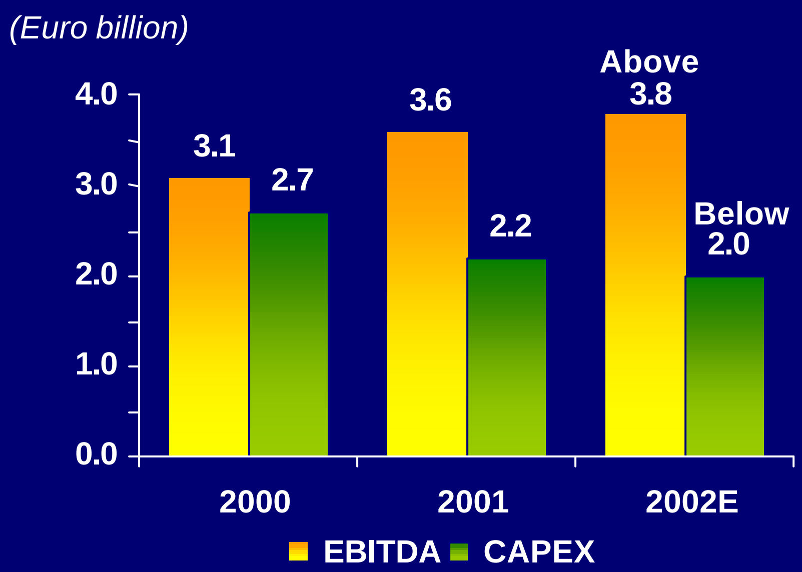


- **Increasing profitability**
  - focus on broadband
  - stabilising fixed line revenues
  - cost control

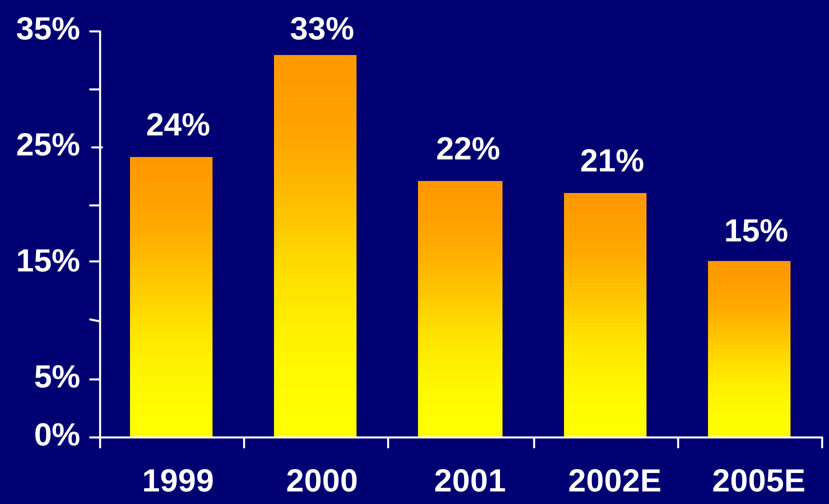
- **Improving returns**
  - efficient CAPEX control
  - disposal of non-core assets (i.e. SKT)
  - share buy back and cancellation

Efficient CAPEX control

EBITDA vs. CAPEX



CAPEX as % of sales



- **CAPEX saving measures**
  - Internal investment coordination committee reviews minimum hurdle rate of 12% after tax for all investments over Euro 4 million
  - Fixed wireless integration committee controls wireless subsidiaries' CAPEX

Note : non-consolidated figures

Key Remaining Issues

Swap with SKT	*KTF & KT ICOM Merger*
✓ SKT holds 9.6% of KT & KT holds 9.3% of SKT ✓ Creating Anti-trust issue ✓ Impede to dispose non-core assets (SKT shares)	✓ *Merger Committee* to minimize the dilution impact to protect shareholders' value ✓ *Fixed-Wireless Integration Coordination Committee* to make optimal CAPEX decision
↓	↓
Equity Swap	**2002 4Q ~ 2003 1Q**

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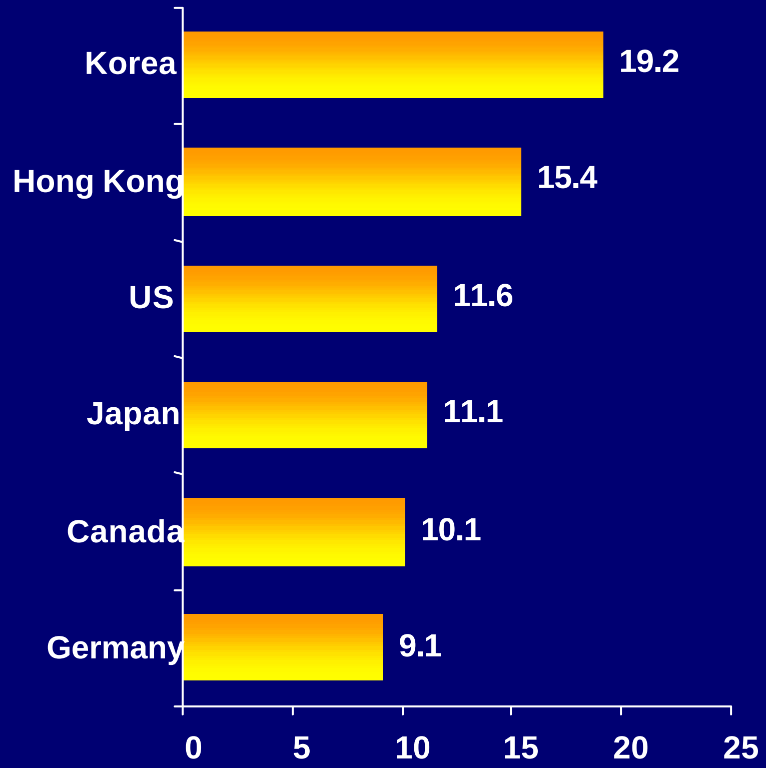
Favourable environment for broadband

Internet Usage (hours per month)



On-line stock trading

- 56.7% KSE
- 79.3% KOSDAQ

On-line games

- 61% penetration of Korean Internet users

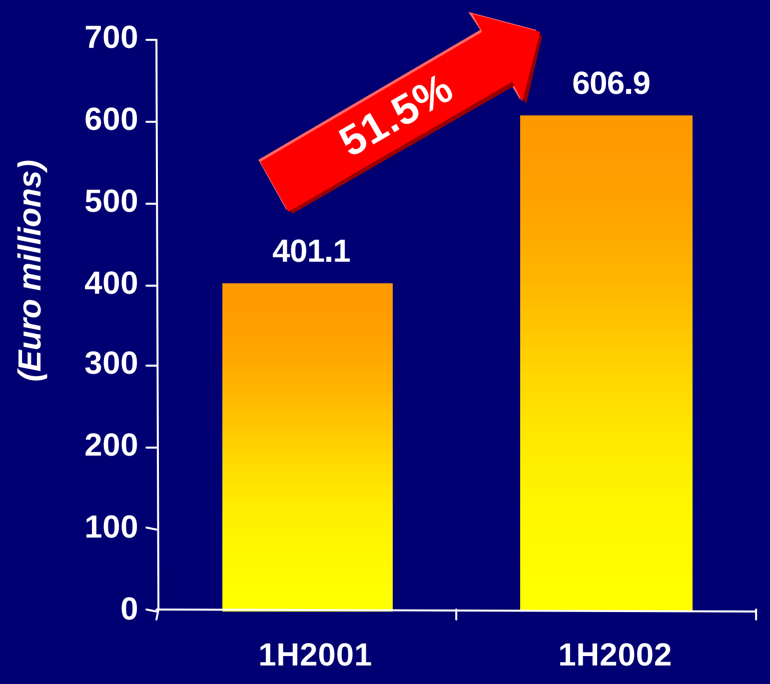
Internet broadcasting

- 78% of Korean Internet population access audio/video content

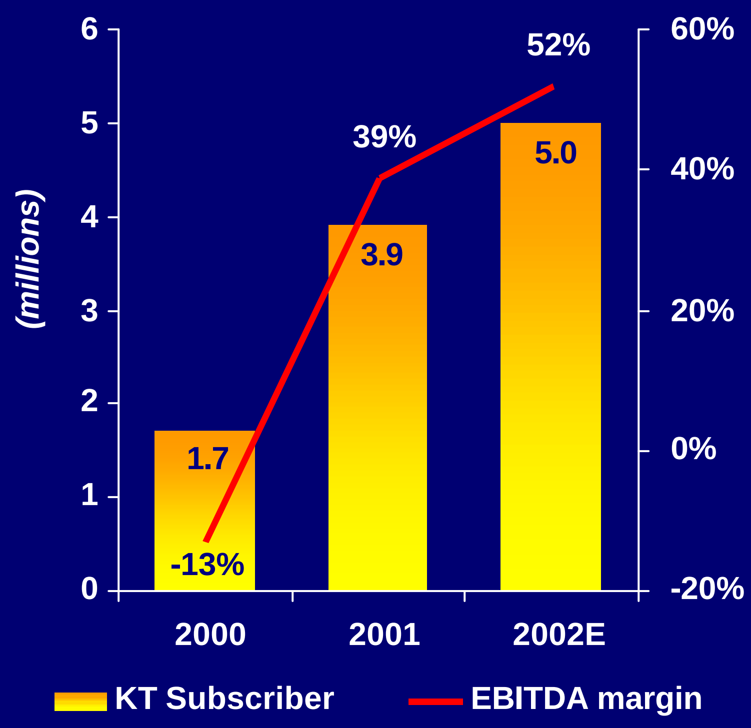
Source: Nielsen NetRatings, KSE as of 2002

Broadband drives revenue growth

Revenue growth



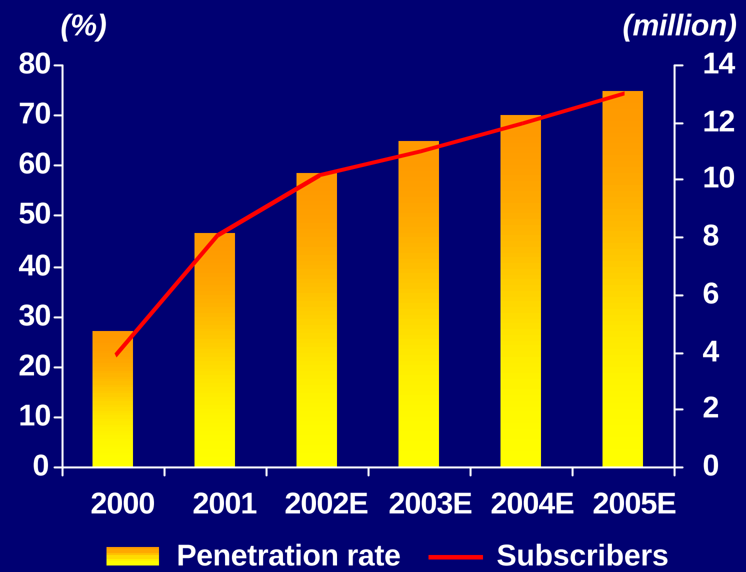
Subscriber and EBITDA margin



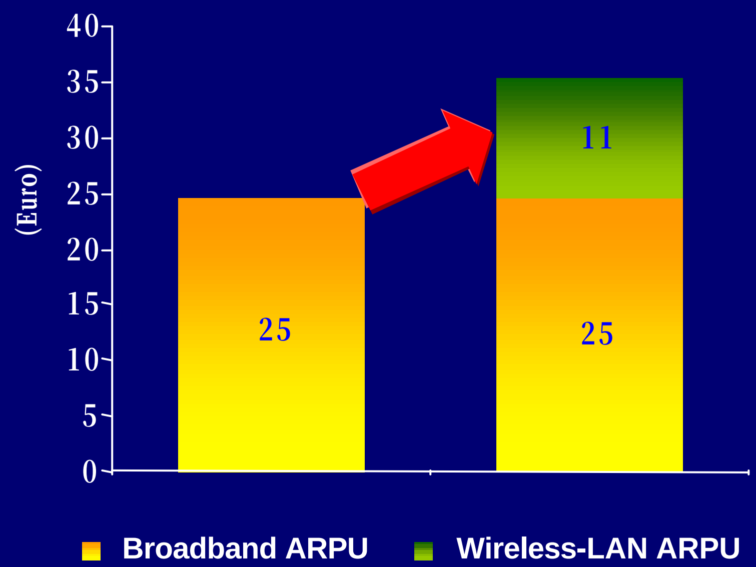
Note : non-consolidated figures

Leveraging dominance in broadband

Rising penetration rate



W-LAN ARPU enhancement

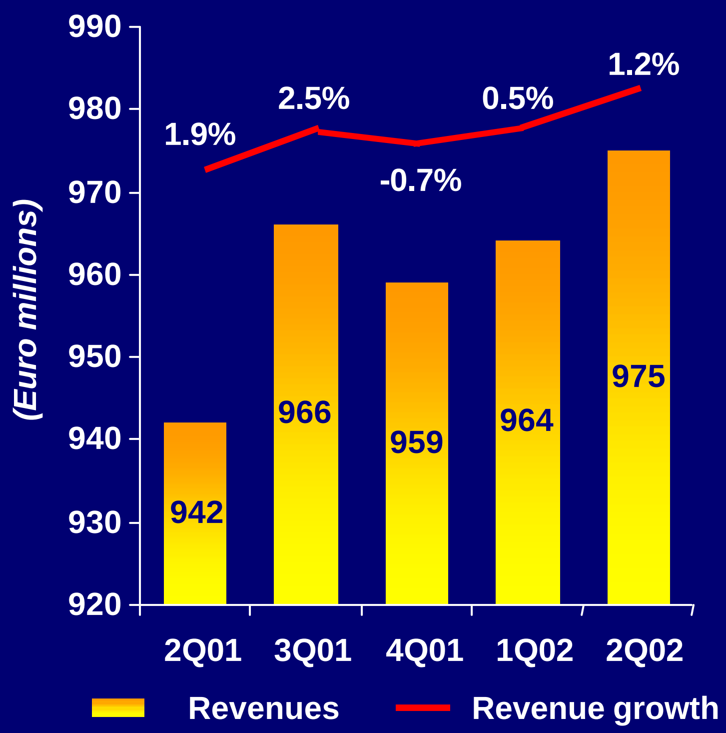


- Potential market of 3.5 million laptop and PDA users
- Maximizing revenues through charging by additional ID
- Integration of wired and wireless
- Minimizing CAPEX (EUR 77 million) by utilizing existing network

Note : non-consolidated figures

Stabilising fixed line revenue

Fixed-line Revenues



Reasons for Stabilization

- **Softening mobile substitution**
- **Rate rebalancing**
  - Increasing basic fee
  - Adopting Flat-Rate Plan
- **Expand value-added services**
  - 700 Info Service, Toll free Caller ID, etc.

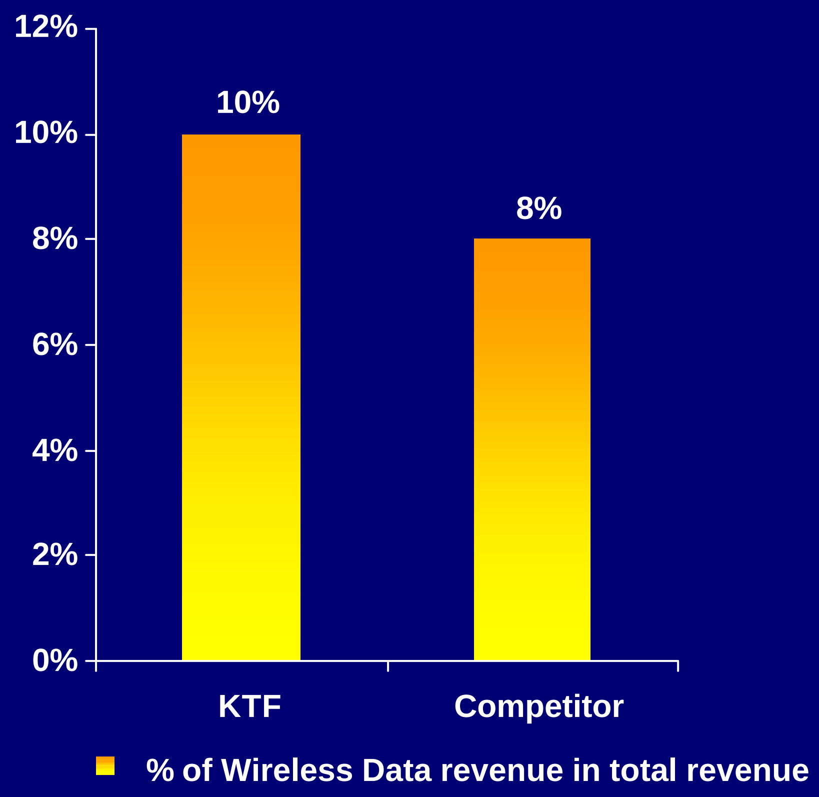
Note : non-consolidated figures

Balanced regulatory environment

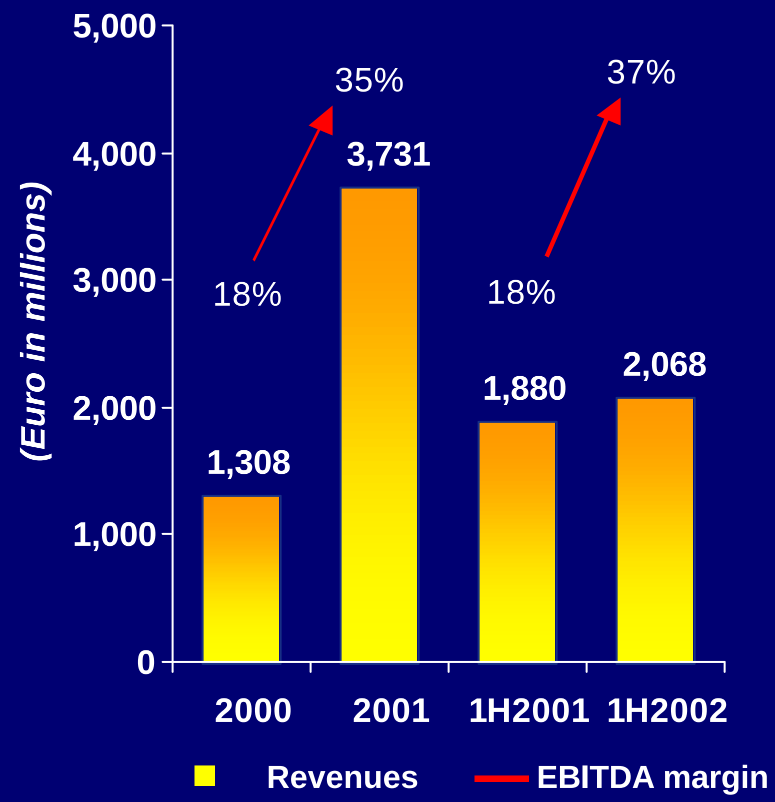
Investors' concerns	Positive changes
Opening of L-M market – Subject to increasing USO compensation ratio **Number portability** – To be introduced in limited regions **Local loop unbundling** – introduced but not effective	**USO compensation ratio increased from 11% to 50% and expect to rise to 100% by 2005** **Tariff rebalancing** – introduction of flat rate plan – 5%~15% increase in leased line rates – to gain full autonomy with price cap system from 2H03

Mobile - Focus on wireless data and profitability

No. 1 in wireless data services



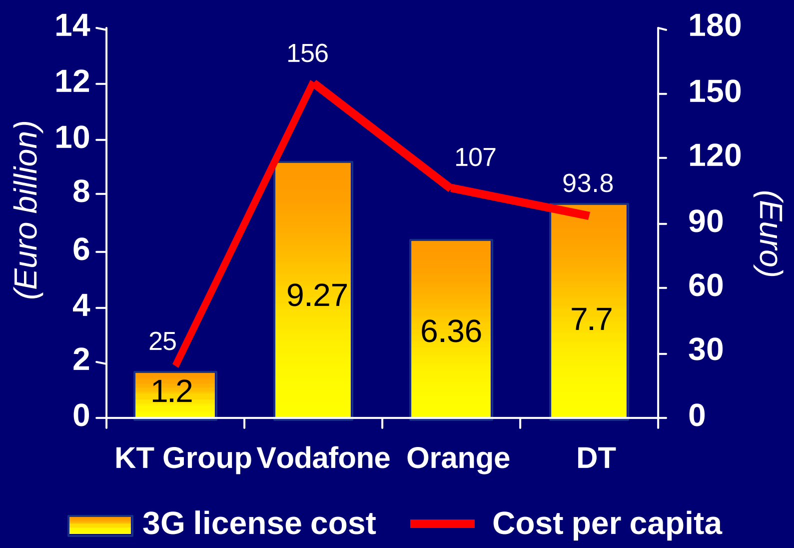
Revenue & EBITDA margin



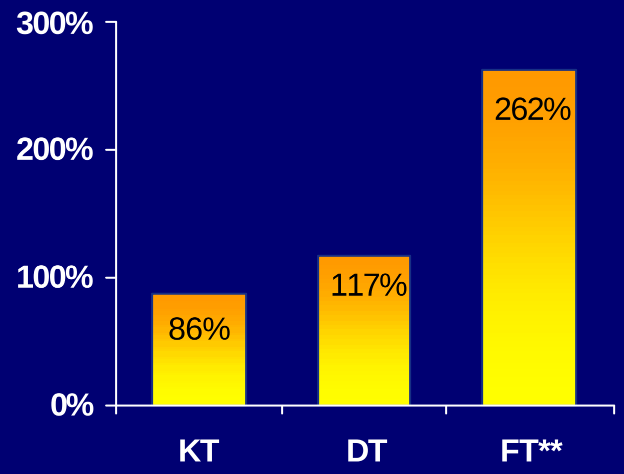
Note : non-consolidated figures

Prudent approach to 3G development

3G license cost



Net debt to equity ratio



* as of June 30 2002, non-consolidated figures
** as of December 2001

- Prevent duplication of 3G investments between KTF and KT ICOM
- Merge the two entities before commercial service of 3G
- Flexible in choosing between W-CDMA and CDMA2000
- Test W-CDMA technology through limited investments

Delivering value to shareholders

- Committed to enhancing shareholder value
- FCF usage for shareholders
- Focus on profitability and tight CAPEX control
- Maintain healthy growth in core business